



MANDAR DEODHAR

Life on EMI

Homemakers allocate a significant share of their expenditure to investments. They also take a little more care of themselves than their working counterparts, spending more on apparel.

Vineeta Shenoy, 33, homemaker with two children, a four-year-old daughter and a six-month-old son.

Savings: 40 per cent of the monthly income.

With her husband Upoor Kiran Kumar, head, access and payment, of a gaming company, not interested in money matters, Shenoy is the in-house finance manager who keeps family's funds in check. She confesses that she became a smart investor much before she got married five years ago; her preferred option was direct equity. Marriage and two children later, she has given up dabbling in stocks and puts her money in insurance policies and mutual funds. "Stocks are high risk and need daily tracking," she says. Her mantra for managing her monthly balance sheet

is partying less and economising on lifestyle expenses. The family's monthly savings add up to a little over 40 per cent of the income, of which half goes towards paying off EMIs. Once the routine bills are taken care of, she locks up her extra money in insurance policies and mutual funds. "After you have children, the safety and security of the investment is of utmost importance," she says. "We are counting on the fact that salaries will go up. And now that we have a house of our own, we needn't worry about escalating rent rates," she says.

Age brings with it the need to save. Married women with independent children save **25%** of their income while single working women spend only **13%** on financial products and services.

Single women spend just **2%** of the total income on EMIs, compare to **11%** for married women.



Single women splurge more on eating out frequently, **19%**, than married women who spend only **12%**.

While homemakers spend a minimal **3%** on purchasing mobile phones and cameras, the figure almost doubles for single working women at **7%**.



Homemakers spend more on fashion than working women with children. They spend **25%** on accessories, while working mothers spend **21%**.

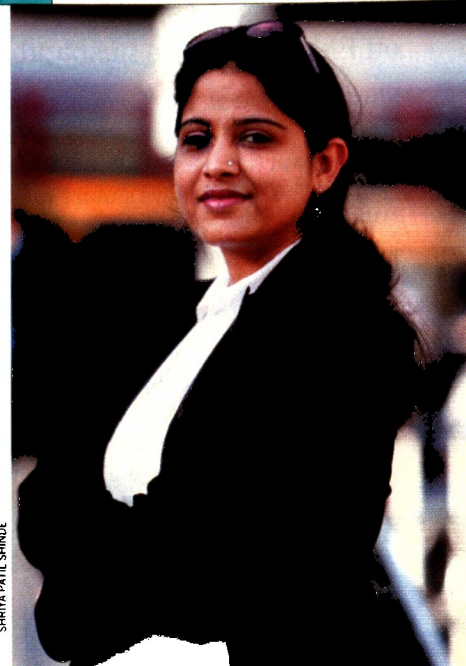
I, me, my money

The spending habits of single working women clearly reflect their new found financial independence and the need to enjoy this money compared to their older, married counterparts.

Tulika Tripathi, 29, client services manager, Standard Chartered Bank.

Savings: 25 per cent of the monthly income.

When she stepped out of college and took up her first job four years ago, Tripathi's father bought her Public Provident Fund and LIC policies to "secure her future". But she soon realised that she had to make her money "work harder". Within months, her investment portfolio expanded. Today, after signing withdrawal slips for rent and other expenses, she is left with about a quarter of her income to invest. She confesses that her spending and saving patterns have changed over the years. "I have realised that salary increments are not enough, I need to save money," she says. While 60 per cent of her investment goes into equity, the remaining 40 per cent is parked in long-term savings. "Equity allows me to withdraw money whenever I need it," says Tripathi.



SHRIVA PATIL SHINDE